

GOLD RUSH

An ever-weakening dollar and spooked stock markets push prices of the yellow metal to new highs as investors turn to safe havens



Prices have doubled in less than 3 years, from Rs 6,110 in June '05 to Rs 12,458 in March '08

There has been over a 30 per cent jump in the last six months alone

Despite regular corrections, the prices have been on an upward trajectory

■ **By Malini Bhupta**

It is an unusual spectacle. Weeks before the wedding season peaks in Mumbai, bullion traders are seeing a mad rush of people wanting to sell gold. In Zaveri Bazaar, it is an image that is telling and eloquent.

In less than six months, the yellow metal has scaled from Rs 9,520 for 10 gm in October 2007 to Rs 12,458 in March 2008, clocking a spectacular 31

per cent appreciation. Sure, gold prices have come a long way from June 2005, when they were quoting at Rs 6,110. So if you had invested Rs 1 lakh in gold in 2005, the amount would have doubled today, in less than three years. Even the best fund manager on Dalal Street may not be able to deliver such returns. No wonder, investors are rushing to Zaveri Bazaar to cash in on the rising prices. Says Kapil Kumar, proprietor of Chokshi Arvind Jewellers and a li-

cenced bullion trader: "After 1980, when gold had touched \$850 for a troy ounce, this is the first time that we are witnessing prices breach historic highs. People who had bought bars and coins are rushing to sell and book a profit. These days, there are very few people who are buying gold in ornament form or bars."

As the precious metal becomes dearer, investors are hoping to exit at higher levels and enter again once

Graphic by PUSHVINDER KAUR